

AT WALL

Beijing warmed up to Manmohan hoping New Delhi will allow Indians to embrace cheap Chinese goods

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Sino-Indian relations. It goes to our prime minister's credit that he has not returned with a twisted hand.

MIDDLE PATH IN MIDDLE KINGDOM: Was it a triumph of prudent politics over ambitious diplomacy? The prime minister displayed a rare courage of frank admission and partial failure when he was questioned over the fate of the Indo-US civil nuclear deal. When asked about China's stand on the issue, he quickly admitted that he had no assurance from the Chinese. This assertion was contrary to the spin given to the deal by diplomats and other promoters of the nuclear deal. A day earlier when Foreign Secretary Shiv Shankar Menon was asked whether the Indian Government had sought Chinese support for the NSG and IAEA, he was evasive and hinted that it had not done so far. Even during the visit, the word was spread that China would take up India's cause. The prime minister was in no mood to raise domestic expectations. At the same time, he refused to give up on the deal too. The middle path in the Middle Kingdom.

DOCTOR'S PRESCRIPTION: A high-level Indian business delegation accompanied Manmohan which included, Airtel's Sunil Mittal, Hero Honda's Pawan Munjal, Jet Airways' Naresh Goyal and Zee's Subhash Chandra. Though some of the biggest Indian corporates formed part of the team, the Chinese response, to say the least, was muted. At a highly publicised meeting of the India-China Business Council, most of the Chinese companies were represented, not by their CEO's but middle or junior level executives. One Chinese corporate leader took pains to emphasise that this was in no way a reflection of the success or otherwise of the prime minister's visit. It was just their way of sending the message across to the business honchos who are lobbying hard to prevent the entry of Chinese goods in the Indian market on grounds that this would spell the death knell for several Indian companies.

Manmohan made an oblique reference to this during his press conference on the flight back to Delhi. He noted that trade between the two countries had already touched \$40 billion (Rs 1.6 lakh crore)—a target originally set for 2010.



SIGNIFICANT STEPS

- External affairs ministers of both countries to exchange visits in 2008.
- Joint medical mission to commemorate Indian medical mission to China
- Bilateral trade target revised to \$60 billion by 2010
- India-China Joint Economic Group's 8th meeting to take place in 2008
- Setting up of business leaders' forum
- Chinese President to invite Indian President to China next year
- Joint military training exercises to be held in 2008. Also to be held this year is the India-China Defence Dialogue
- Joint projects in four areas in the science and technology sector

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